

# Unit 3 – Section 4: Influences on Business Decisions

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Quick-Fire & IAL-Style Teacher Pack

## Topic 1: Corporate Culture

### Quick-Fire Questions

1. Define corporate culture.
2. Name two types of corporate culture according to Handy's model.
3. Explain one feature of a power culture.
4. Explain one benefit of a strong corporate culture.
5. Explain one drawback of a weak corporate culture.
6. Explain how leadership style can influence corporate culture.
7. Define 'culture clash'.
8. Explain one reason culture is important in mergers and takeovers.
9. Explain one way in which culture can impact employee motivation.

### IAL-Style Exam Tasks

- Explain one benefit to a business such as Google of having a strong corporate culture. [4]
- Evaluate whether a strong corporate culture always leads to improved business performance. [20]

### Plenary Question

How can corporate culture influence innovation and change management?

## Topic 2: Stakeholders vs Shareholders

### Quick-Fire Questions

10. Define the term stakeholder.
11. Define the term shareholder.
12. Explain the difference between internal and external stakeholders.
13. Explain one potential conflict between shareholders and employees.
14. Explain one benefit of stakeholder engagement in decision-making.
15. Explain how short-term objectives may create conflict between stakeholders.
16. Explain one reason why stakeholder mapping is useful to managers.
17. Identify two stakeholder groups that might influence business strategy.

### IAL-Style Exam Tasks

- Explain one reason why shareholder objectives may differ from stakeholder objectives. [4]

- Discuss whether stakeholder interests should take priority over shareholder returns. [12]

### Plenary Question

Can a business truly satisfy all its stakeholders? Why or why not?

## Topic 3: Business Ethics and CSR (Corporate Social Responsibility)

### Quick-Fire Questions

18. Define business ethics.
19. Define corporate social responsibility (CSR).
20. Explain one reason why businesses adopt ethical policies.
21. Explain one potential cost of adopting CSR practices.
22. Explain the difference between ethical and legal behaviour.
23. Explain one example of an ethical dilemma faced by businesses.
24. Explain one benefit of CSR to brand reputation.
25. Identify one reason why some businesses may act unethically.
26. Explain one link between CSR and long-term profitability.

### IAL-Style Exam Tasks

- Explain one advantage to a business of following ethical principles. [4]
- Discuss whether corporate social responsibility is compatible with maximising shareholder value. [12]

### Plenary Question

To what extent do ethical and social responsibilities help or hinder business competitiveness?